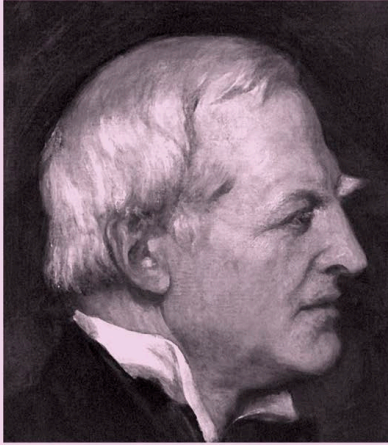


See also: *Hadley v. Baxendale* 148–149 ■ The Sherman Antitrust Act 170–173 ■ The Triangle Shirtwaist Factory fire 180–183
■ The Federal Trade Commission 184–185

Robert Lowe



Widely acclaimed as “the father of modern company law,” barrister and Liberal politician Robert Lowe was born in 1811. He served as vice president of the Board of Trade in Britain in 1855–1858, and it was chiefly due to him that critical revisions of the 1844 Joint Stock Companies Act were passed in an Act of the same name in 1856.

The 1844 Act had created a regulatory framework enabling companies—which until that point could only be incorporated by royal charter—to register as legal trading entities with Companies House, a new

governmental agency. Although the 1844 Act had given companies much more flexibility, it did not allow for limited liability of shareholders.

The Joint Stock Companies Act of 1856, championed by Lowe, made limited liability available to any company with seven shareholders. It also, as importantly, helped raise levels of confidence in corporate activities. The law lords’ verdict on *Salomon v. Salomon & Co. Ltd.* would have been unthinkable without him. Lowe was made Viscount Sherbrooke in 1880 and died in 1892.

shares, so it had the legal minimum of shareholders. He then sold his business to the limited company for a hefty £39,000, £10,000 of which was issued to Salomon as a debenture (a loan secured against company assets). The company went into liquidation in 1893, with debts of £7,773 to be borne by its unsecured creditors (those owed money but with no assets in the company against which to claim).

The court case

Aron Salomon launched his case, *Salomon v. Salomon & Co. Ltd.*, as a secured creditor claiming the company’s remaining funds. The liquidator claimed Salomon was not due any money because he had fraudulently overvalued the business and was therefore liable for the company’s losses.

Both the High Court in 1893 and the Appeal Court in 1895 found against Salomon, on the grounds that the price he had received for his bootmaking business was excessive. They also ruled that the

incorporated company was a “mere scheme” to allow Salomon to carry on his business with the benefit of limited liability and to gain priority over unsecured creditors if it failed. Lastly, the courts held that the other shareholders were tokens used to create what was effectively a one-man limited-liability company.

The High Court and Court of Appeal rulings were rejected in 1896 by the highest British court, the House of Lords. The law lords’ literal interpretation of company law, and assertion that “everyone was entitled to limited liability,” fueled concerns that the unscrupulous might manipulate limited liability. However, the central role of limited liability as “the unyielding rock” of British company law was upheld. The law lords—Lord Halsbury among them—also rejected the idea that shareholders must be independent of each other.

Subsequent court rulings have distinguished between legitimately incorporated businesses that cease trading and ultimately leave large

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The motives of those who took part in the promotion of the company are absolutely irrelevant in discussing what those rights and liabilities are.

**Hardinge Giffard,
Lord Halsbury**
British law lord (1823–1921)

“
unpaid debts that the directors and shareholders are not liable for, and companies created in an attempt to evade an existing obligation of the company’s creator, where the creator still has to pay. By 1900, the British corporate model based on limited liability had been adopted in much of the West, but with some national variations. ■